

1 ENGROSSED HOUSE
2 BILL NO. 1245

By: Strom of the House

3 and

4 Gollihare of the Senate

5
6
7 An Act relating to retirement; amending 74 O.S. 2021,
8 Sections 902, as last amended by Section 1, Chapter
9 280, O.S.L. 2024 (74 O.S. Supp. 2025, Section 902),
10 915, as amended by Section 2, Chapter 280, O.S.L.
11 2024 (74 O.S. Supp. 2025, Section 915), 916.3, as
12 amended by Section 3, Chapter 280, O.S.L. 2024 (74
13 O.S. Supp. 2025, Section 916.3), 919.1, as amended by
14 Section 4, Chapter 280, O.S.L. 2024 (74 O.S. Supp.
15 2025, Section 919.1), and 935.2, which relate to the
16 Oklahoma Public Employees Retirement System; defining
17 term; providing retirement benefit computation for
18 certain members; modifying who shall receive monthly
19 pension; providing that certain election shall be
20 irrevocable; modifying employee contributions for
21 certain employees; and providing an effective date.

22 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

23 SECTION 1. AMENDATORY 74 O.S. 2021, Section 902, as last
24 amended by Section 1, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025,
Section 902), is amended to read as follows:

Section 902. As used in Section 901 et seq. of this title:

1 (1) "System" means the Oklahoma Public Employees Retirement
2 System as established by Section 901 et seq. of this title and as it
3 may hereafter be amended;

4 (2) "Accumulated contributions" means the sum of all
5 contributions by a member to the System which shall be credited to
6 the member's account;

7 (3) "Act" means Sections 901 to 932, inclusive, of this title;

8 (4) "Actuarial equivalent" means a deferred income benefit of
9 equal value to the accumulated deposits or benefits when computed
10 upon the basis of the actuarial tables in use by the System;

11 (5) "Actuarial tables" means the actuarial tables approved and
12 in use by the Board at any given time;

13 (6) "Actuary" means the actuary or firm of actuaries employed
14 by the Board at any given time;

15 (7) "Beneficiary" means any person named by a member to receive
16 any benefits as provided for by Section 901 et seq. of this title.
17 If there is no beneficiary living at time of member employee's
18 death, the member's estate shall be the beneficiary;

19 (8) "Board" means the Oklahoma Public Employees Retirement
20 System Board of Trustees;

21 (9) "Compensation" means all salary and wages, as defined by
22 the Board of Trustees, including amounts deferred under deferred
23 compensation agreements entered into between a member and a
24 participating employer, but exclusive of payment for overtime,

1 payable to a member of the System for personal services performed
2 for a participating employer but shall not include compensation or
3 reimbursement for traveling, or moving expenses, or any compensation
4 in excess of the maximum compensation level, provided:

5 (a) For compensation for service prior to January 1, 1988,
6 the maximum compensation level shall be Twenty-five
7 Thousand Dollars (\$25,000.00) per annum.

8 For compensation for service on or after January 1,
9 1988, through June 30, 1994, the maximum compensation
10 level shall be Forty Thousand Dollars (\$40,000.00) per
11 annum.

12 For compensation for service on or after July 1, 1994,
13 through June 30, 1995, the maximum compensation level
14 shall be Fifty Thousand Dollars (\$50,000.00) per
15 annum; for compensation for service on or after July
16 1, 1995, through June 30, 1996, the maximum

17 compensation level shall be Sixty Thousand Dollars
18 (\$60,000.00) per annum; for compensation for service
19 on or after July 1, 1996, through June 30, 1997, the
20 maximum compensation level shall be Seventy Thousand
21 Dollars (\$70,000.00) per annum; and for compensation
22 for service on or after July 1, 1997, through June 30,
23 1998, the maximum compensation level shall be Eighty
24 Thousand Dollars (\$80,000.00) per annum. For

1 compensation for services on or after July 1, 1998,
2 there shall be no maximum compensation level for
3 retirement purposes.

4 (b) Compensation for retirement purposes shall include any
5 amount of elective salary reduction under Section 457
6 of the Internal Revenue Code of 1986 and any amount of
7 nonelective salary reduction under Section 414(h) of
8 the Internal Revenue Code of 1986.

9 (c) Notwithstanding any provision to the contrary, the
10 compensation taken into account for any employee in
11 determining the contribution or benefit accruals for
12 any plan year is limited to the annual compensation
13 limit under Section 401(a)(17) of the federal Internal
14 Revenue Code.

15 (d) Current appointed members of the Oklahoma Tax
16 Commission whose salary is constitutionally limited
17 and is less than the highest salary allowed by law for
18 his or her position shall be allowed, within ninety
19 (90) days from March 21, 2001, to make an election to
20 use the highest salary allowed by law for the position
21 to which the member was appointed for the purposes of
22 making contributions and determination of retirement
23 benefits. Such election shall be irrevocable and be
24 in writing. Reappointment to the same office shall

1 not permit a new election. Members appointed to the
2 Oklahoma Tax Commission after the March 21, 2001,
3 shall make such election, pursuant to this
4 subparagraph, within ninety (90) days of taking
5 office;

6 (10) "Credited service" means the sum of participating service,
7 prior service and elected service;

8 (11) "Dependent" means a parent, child, or spouse of a member
9 who is dependent upon the member for at least one-half (1/2) of the
10 member's support;

11 (12) "Effective date" means the date upon which the System
12 becomes effective by operation of law;

13 (13) "Eligible employer" means the state and any county, county
14 hospital, city or town, conservation districts, circuit engineering
15 districts and any public or private trust in which a county, city or
16 town participates and is the primary beneficiary, is to be an
17 eligible employer for the purpose of Section 901 et seq. of this
18 title only, whose employees are covered by Social Security and are
19 not covered by or eligible for another retirement plan authorized
20 under the laws of this state which is in operation on the initial
21 entry date. Emergency medical service districts may join the System
22 upon proper application to the Board. Provided, affiliation by a
23 county hospital shall be in the form of a resolution adopted by the
24 board of control.

1 (a) If a class or several classes of employees of any
2 above-defined employers are covered by Social Security
3 and are not covered by or eligible for and will not
4 become eligible for another retirement plan authorized
5 under the laws of this state, which is in operation on
6 the effective date, such employer shall be deemed an
7 eligible employer, but only with respect to that class
8 or those classes of employees as defined in this
9 section.

10 (b) A class or several classes of employees who are
11 covered by Social Security and are not covered by or
12 eligible for and will not become eligible for another
13 retirement plan authorized under the laws of this
14 state, which is in operation on the effective date,
15 and when the qualifications for employment in such
16 class or classes are set by state law; and when such
17 class or classes of employees are employed by a county
18 or municipal government pursuant to such
19 qualifications; and when the services provided by such
20 employees are of such nature that they qualify for
21 matching by or contributions from state or federal
22 funds administered by an agency of state government
23 which qualifies as a participating employer, then the
24 agency of state government administering the state or

1 federal funds shall be deemed an eligible employer,
2 but only with respect to that class or those classes
3 of employees as defined in this subsection; provided,
4 that the required contributions to the retirement plan
5 may be withheld from the contributions of state or
6 federal funds administered by the state agency and
7 transmitted to the System on the same basis as the
8 employee and employer contributions are transmitted
9 for the direct employees of the state agency. The
10 retirement or eligibility for retirement under the
11 provisions of law providing pensions for service as a
12 volunteer firefighter shall not render any person
13 ineligible for participation in the benefits provided
14 for in Section 901 et seq. of this title. An employee
15 of any public or private trust in which a county, city
16 or town participates and is the primary beneficiary
17 shall be deemed to be an eligible employee for the
18 purpose of Section 901 et seq. of this title only.

19 (c) All employees of the George Nigh Rehabilitation
20 Institute who elected to retain membership in the
21 System, pursuant to Section 913.7 of this title, shall
22 continue to be eligible employees for the purposes of
23 Section 901 et seq. of this title. The George Nigh
24

1 Rehabilitation Institute shall be considered a
2 participating employer only for such employees.

3 (d) All employees of CompSource Mutual Insurance Company
4 who retain membership in the Oklahoma Public Employees
5 Retirement System pursuant to Section 913.9 of this
6 title shall continue to be eligible employees for the
7 purposes of the Oklahoma Public Employees Retirement
8 System. CompSource Mutual Insurance Company shall be
9 considered a participating employer only for such
10 employees.

11 (e) All employees of a successor organization, as defined
12 by Section 5-60.12 of Title 2 of the Oklahoma
13 Statutes, who retain membership in the Oklahoma Public
14 Employees Retirement System pursuant to Section 5-
15 60.35 of Title 2 of the Oklahoma Statutes shall
16 continue to be eligible employees for the purposes of
17 the Oklahoma Public Employees Retirement System. A
18 successor organization shall be considered a
19 participating employer only for such employees.

20 (f) A participating employer of the Teachers' Retirement
21 System of Oklahoma, who has one or more employees who
22 have made an election pursuant to enabling legislation
23 to retain membership in the System as a result of
24 change in administration, shall be considered a

1 participating employer of the Oklahoma Public

2 Employees Retirement System only for such employees;

3 (14) "Employee" means any officer or employee of a
4 participating employer, whose employment is not seasonal or
5 temporary and whose employment requires at least one thousand
6 (1,000) hours of work per year and whose salary or wage is equal to
7 the hourly rate of the monthly minimum wage for state employees.
8 For those eligible employers outlined in Section 910 of this title,
9 the rate shall be equal to the hourly rate of the monthly minimum
10 wage for that employer. Each employer, whose minimum wage is less
11 than the state's minimum wage, shall inform the System of the
12 minimum wage for that employer. This notification shall be by
13 resolution of the governing body.

14 (a) Any employee of the county extension agents who is not
15 currently participating in the Teachers' Retirement
16 System of Oklahoma shall be a member of this System.

17 (b) Eligibility shall not include any employee who is a
18 contributing member of the United States Civil Service
19 Retirement System.

20 (c) It shall be mandatory for an officer, appointee or
21 employee of the office of district attorney to become
22 a member of this System if he or she is not currently
23 participating in a county retirement system. Provided
24 further, that if an officer, appointee or employee of

1 the office of district attorney is currently
2 participating in such county retirement system, he or
3 she is ineligible for this System as long as he or she
4 is eligible for such county retirement system. Any
5 eligible officer, appointee or employee of the office
6 of district attorney shall be given credit for prior
7 service as defined in this section. The provisions
8 outlined in Section 917 of this title shall apply to
9 those employees who have previously withdrawn their
10 contributions.

11 (d) Eligibility shall also not include any officer or
12 employee of the Oklahoma Employment Security
13 Commission, except for those officers and employees of
14 the Commission electing to transfer to this System
15 pursuant to the provisions of Section 910.1 of this
16 title or any other class of officers or employees
17 specifically exempted by the laws of this state,
18 unless there be a consolidation as provided by Section
19 912 of this title. Employees of the Oklahoma
20 Employment Security Commission who are ineligible for
21 enrollment in the Oklahoma Employment Security
22 Commission Retirement Plan, that was in effect on
23 January 1, 1964, shall become members of this System.
24

1 (e) Any employee employed by the Legislative Service
2 Bureau, Senate or House of Representatives for the
3 full duration of a regular legislative session shall
4 be eligible for membership in the System regardless of
5 classification as a temporary employee and may
6 participate in the System during the regular
7 legislative session at the option of the employee.
8 For purposes of this subparagraph, the determination
9 of whether an employee is employed for the full
10 duration of a regular legislative session shall be
11 made by the Legislative Service Bureau if such
12 employee is employed by the Legislative Service
13 Bureau, the Senate if such employee is employed by the
14 Senate, or by the House of Representatives if such
15 employee is employed by the House of Representatives.
16 Each regular legislative session during which the
17 legislative employee or an employee of the Legislative
18 Service Bureau participates full time shall be counted
19 as six (6) months of full-time participating service.

20 (i) Except as otherwise provided by this
21 subparagraph, once a temporary session employee
22 makes a choice to participate or not, the choice
23 shall be binding for all future legislative
24 sessions during which the employee is employed.

1 (ii) Notwithstanding the provisions of division (i) of
2 this subparagraph, any employee, who is eligible
3 for membership in the System because of the
4 provisions of this subparagraph and who was
5 employed by the Senate or House of
6 Representatives after January 1, 1989, may file
7 an election, in a manner specified by the Board,
8 to participate as a member of the System prior to
9 September 1, 1989.

10 (iii) Notwithstanding the provisions of division (i) of
11 this subparagraph, a temporary legislative
12 session employee who elected to become a member
13 of the System may withdraw from the System
14 effective the day such employee elected to
15 participate in the System upon written request to
16 the Board. Any such request must be received by
17 the Board prior to October 1, 1990. All employee
18 contributions made by the temporary legislative
19 session employee shall be returned to the
20 employee without interest within four (4) months
21 of receipt of the written request.

22 (iv) A member of the System who did not initially
23 elect to participate as a member of the System
24 pursuant to this subparagraph shall be able to

1 acquire service performed as a temporary
2 legislative session employee for periods of
3 service performed prior to the date upon which
4 the person became a member of the System if:

- 5 a. the member files an election with the System
6 not later than December 31, 2000, to
7 purchase the prior service; and
8 b. the member makes payment to the System of
9 the actuarial cost of the service credit
10 pursuant to subsection A of Section 913.5 of
11 this title. The provisions of Section 913.5
12 of this title shall be applicable to the
13 purchase of the service credit, including
14 the provisions for determining service
15 credit in the event of incomplete payment
16 due to cessation of payments, death,
17 termination of employment or retirement, but
18 the payment may extend for a period not to
19 exceed ninety-six (96) months;

20 (15) "Entry date" means the date on which an eligible employer
21 joins the System. The first entry date pursuant to Section 901 et
22 seq. of this title shall be January 1, 1964;
23
24

1 (16) "Executive Director" means the managing officer of the
2 System employed by the Board under Section 901 et seq. of this
3 title;

4 (17) "Federal Internal Revenue Code" means the federal Internal
5 Revenue Code of 1954 or 1986, as amended and as applicable to a
6 governmental plan as in effect on July 1, 1999;

7 (18) "Final average compensation" means the average annual
8 compensation, including amounts deferred under deferred compensation
9 agreements entered into between a member and a participating
10 employer, up to, but not exceeding the maximum compensation levels
11 as provided in paragraph (9) of this section received during the
12 highest three (3) of the last ten (10) years of participating
13 service immediately preceding retirement or termination of
14 employment and with respect to members whose first participating
15 service occurs on or after July 1, 2013, the compensation received
16 during the highest five (5) of the last ten (10) years of
17 participating service immediately preceding retirement or
18 termination of employment. Provided, no member shall retire with a
19 final average compensation unless the member has made the required
20 contributions on such compensation, as defined by the Board of
21 Trustees;

22 (19) "Fiscal year" means the period commencing July 1 of any
23 year and ending June 30 of the next year. The fiscal year is the
24 plan year for purposes of the federal Internal Revenue Code;

1 however, the calendar year is the limitation year for purposes of
2 Section 415 of the federal Internal Revenue Code;

3 (20) "Fund" means the Oklahoma Public Employees Retirement Fund
4 as created by Section 901 et seq. of this title;

5 (21) "Leave of absence" means a period of absence from
6 employment without pay, authorized and approved by the employer and
7 acknowledged to the Board, and which after the effective date does
8 not exceed two (2) years;

9 (22) "Member" means an eligible employee or elected official
10 who is in the System and is making the required employee or elected
11 official contributions, or any former employee or elected official
12 who shall have made the required contributions to the System and
13 shall have not received a refund or withdrawal;

14 (23) "Military service" means service in the Armed Forces of
15 the United States by an honorably discharged person during the
16 following time periods, as reflected on such person's Defense
17 Department Form 214, not to exceed five (5) years for combined
18 participating and/or prior service, as follows:

19 (a) during the following periods, including the beginning
20 and ending dates, and only for the periods served,
21 from:

22 (i) April 6, 1917, to November 11, 1918, commonly
23 referred to as World War I,
24

- 1 (ii) September 16, 1940, to December 7, 1941, as a
2 member of the 45th Division,
- 3 (iii) December 7, 1941, to December 31, 1946, commonly
4 referred to as World War II,
- 5 (iv) June 27, 1950, to January 31, 1955, commonly
6 referred to as the Korean Conflict or the Korean
7 War,
- 8 (v) February 28, 1961, to May 7, 1975, commonly
9 referred to as the Vietnam era, except that:
- 10 a. for the period from February 28, 1961, to
11 August 4, 1964, military service shall only
12 include service in the Republic of Vietnam
13 during that period, and
- 14 b. for purposes of determining eligibility for
15 education and training benefits, such period
16 shall end on December 31, 1976, or
- 17 (vi) August 1, 1990, to December 31, 1991, commonly
18 referred to as the Gulf War, the Persian Gulf
19 War, or Operation Desert Storm, but excluding any
20 person who served on active duty for training
21 only, unless discharged from such active duty for
22 a service-connected disability;
- 23 (b) during a period of war or combat military operation
24 other than a conflict, war or era listed in

1 subparagraph (a) of this paragraph, beginning on the
2 date of Congressional authorization, Congressional
3 resolution, or Executive Order of the President of the
4 United States, for the use of the Armed Forces of the
5 United States in a war or combat military operation,
6 if such war or combat military operation lasted for a
7 period of ninety (90) days or more, for a person who
8 served, and only for the period served, in the area of
9 responsibility of the war or combat military
10 operation, but excluding a person who served on active
11 duty for training only, unless discharged from such
12 active duty for a service-connected disability, and
13 provided that the burden of proof of military service
14 during this period shall be with the member, who must
15 present appropriate documentation establishing such
16 service.

17 An eligible member under this paragraph shall include only those
18 persons who shall have served during the times or in the areas
19 prescribed in this paragraph, and only if such person provides
20 appropriate documentation in such time and manner as required by the
21 System to establish such military service prescribed in this
22 paragraph, or for service pursuant to subdivision a of division (v)
23 of subparagraph (a) of this paragraph those persons who were awarded
24 service medals, as authorized by the United States Department of

1 Defense as reflected in the veteran's Defense Department Form 214,
2 related to the Vietnam Conflict for service prior to August 5, 1964;

3 (24) "Normal retirement date" means the date on which a member
4 may retire with full retirement benefits as provided in Section 901
5 et seq. of this title, such date being whichever occurs first:

6 (a) the first day of the month coinciding with or
7 following a member's:

8 (1) sixty-second birthday with respect to members
9 whose first participating service occurs prior to
10 November 1, 2011, or

11 (2) sixty-fifth birthday with respect to members
12 whose first participating service occurs on or
13 after November 1, 2011, or with respect to
14 members whose first participating service occurs
15 on or after November 1, 2011, who reach a minimum
16 age of sixty (60) years and who also reach a
17 normal retirement date pursuant to subparagraph c
18 of this paragraph,

19 (b) for any person who initially became a member prior to
20 July 1, 1992, and who does not reach a normal
21 retirement date pursuant to division (1) of
22 subparagraph (a) of this paragraph, the first day of
23 the month coinciding with or following the date at
24 which the sum of a member's age and number of years of

1 credited service total eighty (80); such a normal
2 retirement date will also apply to any person who
3 became a member of the sending system as defined in
4 Section 901 et seq. of this title, prior to July 1,
5 1992, regardless of whether there were breaks in
6 service after July 1, 1992,

7 (c) for any person who became a member after June 30,
8 1992, but prior to November 1, 2011, and who does not
9 reach a normal retirement date pursuant to division
10 (1) of subparagraph (a) of this paragraph, the first
11 day of the month coinciding with or following the date
12 at which the sum of a member's age and number of years
13 of credited service total ninety (90),

14 (d) in addition to subparagraphs (a), (b) and (c) of this
15 paragraph, the first day of the month coinciding with
16 or following a member's completion of at least twenty
17 (20) years of full-time-equivalent employment as:

18 (i) a correctional or probation and parole officer
19 with the Department of Corrections and at the
20 time of retirement, the member was a correctional
21 or probation and parole officer with the
22 Department of Corrections,

23 (ii) a correctional officer, probation and parole
24 officer or fugitive apprehension agent with the

1 Department of Corrections who is in such position
2 on June 30, 2004, or who is hired after June 30,
3 2004, and who receives a promotion or change in
4 job classification after June 30, 2004, to
5 another position in the Department of
6 Corrections, so long as such officer or agent has
7 at least five (5) years of service as a
8 correctional officer, probation and parole
9 officer or fugitive apprehension agent with the
10 Department, has twenty (20) years of full-time-
11 equivalent employment with the Department and was
12 employed by the Department at the time of
13 retirement,

14 (iii) a firefighter with the Military Department of the
15 State of Oklahoma either employed for the first
16 time on or after July 1, 2002, or who was
17 employed prior to July 1, 2002, in such position
18 and who makes the election authorized by division
19 (2) of subparagraph b of paragraph (9) of
20 subsection A of Section 915 of this title and at
21 the time of retirement, the member was a
22 firefighter with the Military Department of the
23 State of Oklahoma, and such member has at least
24 twenty (20) years of credited service upon which

1 the two and one-half percent (2 1/2%) multiplier
2 will be used in calculating the retirement
3 benefit,

4 (iv) a public safety officer employed by the Grand
5 River Dam Authority for the first time on or
6 after July 1, 2016,

7 (v) a deputy sheriff or jailer employed by any county
8 that is a participating employer in the System
9 for the first time as a deputy sheriff or jailer
10 on or after November 1, 2020, ~~or~~

11 (vi) beginning November 1, 2024, a deputy sheriff or
12 jailer employed by any county that is a
13 participating employer in the System for the
14 first time as a deputy sheriff or jailer before
15 November 1, 2020, including those who make the
16 election authorized by division (2) of
17 subparagraph b of paragraph (10) of subsection A
18 of Section 915 of this title, and at the time of
19 retirement, if the member was a deputy sheriff or
20 jailer employed by the participating county, and
21 such member has at least twenty (20) years of
22 credited service upon which the two and one-half
23 percent (2 1/2%) multiplier will be used in
24 calculating the retirement benefit, or

(vii) a CLEET-certified law enforcement agent employed by the Department of Human Services Office of Inspector General who is employed for the first time on or after November 1, 2026, or who was employed prior to November 1, 2026, and makes the election authorized by subparagraph (d) of paragraph (9) of subsection A of Section 915 of this title and, at the time of retirement, the member was a CLEET-certified law enforcement agent employed by the Department of Human Services Office of Inspector General, and such member has at least twenty (20) years of credited service, upon which the two and one-half percent (2 1/2%) multiplier will be used in calculating the retirement benefit,

(e) for those fugitive apprehension agents who retire on or after July 1, 2002, the first day of the month coinciding with or following a member's completion of at least twenty (20) years of full-time-equivalent employment as a fugitive apprehension agent with the Department of Corrections and at the time of retirement, the member was a fugitive apprehension agent with the Department of Corrections, or

(f) for any member who was continuously employed by an entity or institution within The Oklahoma State System of Higher Education and whose initial employment with such entity or institution was prior to July 1, 1992, and who without a break in service of more than thirty (30) days became employed by an employer participating in the Oklahoma Public Employees Retirement System, the first day of the month coinciding with or following the date at which the sum of the member's age and number of years of credited service total eighty (80);

(25) "Participating employer" means an eligible employer who has agreed to make contributions to the System on behalf of its employees;

(26) "Participating service" means the period of employment after the entry date for which credit is granted a member. Provided, on or after the effective date of this act, military service credit purchased under Section 913.8 of this title shall only be considered "participating service" if such service is immediately preceded by a period of employment with a participating employer and followed by a return to service as an employee with the same or another participating employer within ninety (90) days immediately following discharge from such military service;

1 (27) "Prior service" means the period of employment of a member
2 by an eligible employer prior to the member's entry date for which
3 credit is granted a member under Section 901 et seq. of this title.
4 Provided, on or after the effective date of this act, "prior
5 service" shall also include service purchased under Section 913.8 of
6 this title which does not meet the requirements of paragraph 26 of
7 this section;

8 (28) "Retirant" or "retiree" means a member who has retired
9 under the System;

10 (29) "Retirement benefit" means a monthly income with benefits
11 accruing from the first day of the month coinciding with or
12 following retirement and ending on the last day of the month in
13 which death occurs or the actuarial equivalent thereof paid in such
14 manner as specified by the member pursuant to Section 901 et seq. of
15 this title or as otherwise allowed to be paid at the discretion of
16 the Board;

17 (30) "Retirement coordinator" means the individual designated
18 by each participating employer through whom System transactions and
19 communication shall be directed;

20 (31) "Social Security" means the old-age survivors and
21 disability section of the federal Social Security Act;

22 (32) "Total disability" means a physical or mental disability
23 accepted for disability benefits by the federal Social Security
24 System;

1 (33) "Service-connected disability benefits" means military
2 service benefits which are for a service-connected disability rated
3 at twenty percent (20%) or more by the Veterans Administration or
4 the Armed Forces of the United States;

5 (34) "Elected official" means a person elected to a state
6 office in the legislative or executive branch of state government or
7 a person elected to a county office for a definite number of years
8 and shall include an individual who is appointed to fill the
9 unexpired term of an elected state official;

10 (35) "Elected service" means the period of service as an
11 elected official;

12 (36) "Limitation year" means the year used in applying the
13 limitations of Section 415 of the Internal Revenue Code of 1986,
14 which year shall be the calendar year; ~~and~~

15 (37) "Public safety officers of the Grand River Dam Authority"
16 means those persons hired by the Grand River Dam Authority on or
17 after March 21, 2001, who are certified by the Council on Law
18 Enforcement Education and Training or an equivalent certifying
19 entity for law enforcement personnel training and who perform law
20 enforcement functions as part of their regularly assigned duties and
21 responsibilities on a full-time basis. With respect to any public
22 safety officer hired by the Grand River Dam Authority on or after
23 March 21, 2001, any earned benefits or credits toward retirement
24 benefits from previous participation within the Oklahoma Public

1 Employees Retirement System or the Oklahoma Law Enforcement

2 Retirement System shall remain within that system; and

3 (38) "CLEET-certified law enforcement agent employed by the

4 Department of Human Services Office of Inspector General" means

5 those persons hired by the Department of Human Services Office of

6 the Inspector General on or after June 1, 1993, who are certified by

7 the Council on Law Enforcement Education and Training (CLEET) or an

8 equivalent certifying entity for law enforcement personnel training

9 and who perform law enforcement services as part of their regularly

10 assigned duties and responsibilities on a full-time basis.

11 SECTION 2. AMENDATORY 74 O.S. 2021, Section 915, as
12 amended by Section 2, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025,
13 Section 915), is amended to read as follows:

14 Section 915. A. (1) Except as otherwise provided in this
15 subsection and as provided for elected officials in Section 913.4 of
16 this title, any member who shall retire on or after the member's
17 normal retirement date shall be entitled to receive an annual
18 retirement benefit equal to two percent (2%) of the member's final
19 average compensation as determined pursuant to paragraph (18) of
20 Section 902 of this title, multiplied by the number of years of
21 credited service that has been credited to the member in accordance
22 with the provisions of Section 913 of this title other than years
23 credited pursuant to paragraph (2) of this subsection.

(2) Effective January 1, 2004, except as otherwise provided for elected officials in Section 913.4 of this title and except for those members making contributions pursuant to paragraphs (c), (d), (e) and (f) of subsection (1) of Section 919.1 of this title, any member who shall retire shall be entitled to receive an annual retirement benefit equal to two and one-half percent (2 1/2%) of the member's final average compensation as determined pursuant to paragraph (18) of Section 902 of this title, multiplied by the number of full years of participating service after January 1, 2004, that have been credited to the member in accordance with the provisions of Section 913 of this title and only for those full years of participating service for which contributions have been made pursuant to paragraph (g) of subsection (1) of Section 919.1 of this title. The two and one-half percent (2 1/2%) multiplier shall not apply to purchased service, purchased or granted military service or transferred service. In order to receive the two and one-half percent (2 1/2%) multiplier in computing retirement benefits, an active member shall make an irrevocable written election to pay the contributions pursuant to paragraph (g) of subsection (1) of Section 919.1 of this title. The two and one-half percent (2 1/2%) multiplier pursuant to this paragraph shall not apply to additional years of service credit attributed to sick leave pursuant to paragraph 7 of subsection B of Section 913 of this title and fractional years pursuant to subsection C of Section 913 of this

1 title and shall be attributable only to the participating service
2 credited after the election of the member.

3 (3) The minimum final average compensation for any person who
4 becomes a member of the System on or after July 1, 1995:

5 a. and who had twenty (20) or more years of credited
6 service within the System as of the member's
7 retirement date shall be no less than Thirteen
8 Thousand Eight Hundred Dollars (\$13,800.00) per annum,

9 b. and who had at least fifteen (15) but not more than
10 nineteen (19) years of credited service within the
11 System as of the member's retirement date shall be no
12 less than Six Thousand Nine Hundred Dollars
13 (\$6,900.00) per annum,

14 c. and who had less than fifteen (15) years of credited
15 service within the System as of the member's
16 retirement date shall not be eligible for any minimum
17 amount of final average compensation and the member's
18 final average compensation shall be the final average
19 compensation as defined by paragraph (18) of Section
20 902 of this title.

21 (4) Provided, further, any member who has elected a vested
22 benefit pursuant to Section 917 of this title shall be entitled to
23 receive benefits as outlined in this section except the percent
24 factor and the member's maximum compensation level in effect the

1 date the member's employment was terminated with a participating
2 employer shall be applicable.

3 (5) Any member who is a correctional officer or a probation and
4 parole officer employed by the Department of Corrections at the time
5 of retirement and who retires on or before June 30, 2000, shall be
6 entitled to receive an annual retirement benefit equal to two and
7 one-half percent (2 1/2%) of the final average compensation of the
8 member not to exceed Twenty-five Thousand Dollars (\$25,000.00) and
9 two percent (2%) of the final average salary in excess of Twenty-
10 five Thousand Dollars (\$25,000.00) but not exceeding the maximum
11 compensation level as provided in paragraph (9) of Section 902 of
12 this title, multiplied by the number of years of service as a
13 correctional officer or a probation and parole officer; provided,
14 any years accrued prior to July 1, 1990, as a correctional officer
15 or a probation and parole officer by a member who is employed as a
16 correctional officer or a probation and parole officer on July 1,
17 1990, shall be calculated for retirement purposes at two and one-
18 quarter percent (2 1/4%) of the final average compensation of the
19 member not to exceed Twenty-five Thousand Dollars (\$25,000.00) and
20 two percent (2%) of the final average salary in excess of Twenty-
21 five Thousand Dollars (\$25,000.00) but not exceeding the maximum
22 compensation level as provided in paragraph (9) of Section 902 of
23 this title, multiplied by the number of years of such service and
24 any years in excess of twenty (20) years as such an officer or years

1 credited to the member in accordance with the provisions of Section
2 913 of this title shall be calculated for retirement purposes at two
3 percent (2%) of the final average compensation of the member
4 multiplied by the number of years of such service. Any person who
5 contributes to the System as a correctional officer or a probation
6 and parole officer as provided in paragraph (b) or (c) of subsection
7 (1) of Section 919.1 of this title, on or before June 30, 2000, but
8 who does not make such contributions after June 30, 2000, and who
9 does not qualify for normal retirement under subparagraph (c) of
10 paragraph (24) of Section 902 of this title shall have retirement
11 benefits for each year of full-time-equivalent participating service
12 as a correctional or a probation and parole officer after July 1,
13 1990, computed on two and one-half percent (2 1/2%) of the final
14 average compensation based upon those years as a correctional
15 officer or a probation and parole officer. Provided, further, any
16 fugitive apprehension agent shall be entitled to receive benefits as
17 outlined in this act for service as a fugitive apprehension agent
18 prior to July 1, 2002, only upon payment to the System of the
19 employee contributions which would have been paid if such fugitive
20 apprehension agent had been covered by this section prior to the
21 effective date of this act, plus interest of not to exceed ten
22 percent (10%) as determined by the Board. The Department of
23 Corrections may make the employee contribution and interest payment
24 on behalf of such member.

(6) Any member who is a correctional officer, a probation and parole officer or a fugitive apprehension agent employed by the Department of Corrections at the time of retirement and who retires on or after July 1, 2002, shall be entitled to receive an annual retirement benefit equal to two and one-half percent (2 1/2%) of the final average compensation of the member, but not exceeding the maximum compensation level as provided in paragraph (18) of Section 902 of this title, multiplied by the number of years of service as a correctional officer, a probation and parole officer or a fugitive apprehension agent, and any years in excess of twenty (20) years as such an officer or agent, or years credited to the member in accordance with the provisions of Section 913 of this title, shall be calculated for retirement purposes at two percent (2%) of the final average compensation of the member multiplied by the number of years of such service. For purposes of this paragraph, "final average compensation" shall be determined by computing the average annual salary, in the manner prescribed by paragraph (18) of Section 902 of this title, for the highest three (3) years of the last ten (10) years of participating service immediately preceding retirement or termination of employment for all years of service performed by such member, both for years of service performed as a correctional officer, probation and parole officer or fugitive apprehension agent, not in excess of twenty (20) years, and for years of service performed in excess of twenty (20) years, whether as a correctional

1 officer, probation and parole officer, fugitive apprehension agent
2 or other position unless the computation of benefits would result in
3 a lower retirement benefit amount than if final average compensation
4 were to be computed as otherwise provided by this paragraph. "Final
5 average compensation" shall be determined by computing the average
6 annual salary for the highest five (5) of the last ten (10) years of
7 participating service immediately preceding retirement or
8 termination of employment, with respect to members whose first
9 participating service occurs on or after July 1, 2013.

10 (7) Any member who is a correctional officer, a probation and
11 parole officer or a fugitive apprehension agent who has at least
12 five (5) years of service as a correctional officer, a probation and
13 parole officer or a fugitive apprehension agent who is in such
14 position on June 30, 2004, or who is hired after June 30, 2004, in
15 such position, and who receives a promotion or change in job
16 classification after June 30, 2004, to another position in the
17 Department of Corrections, and who is employed by the Department of
18 Corrections at the time of retirement and who retires on or after
19 July 1, 2004, shall be entitled to receive an annual retirement
20 benefit equal to two and one-half percent (2 1/2%) of the final
21 average compensation of the member, but not exceeding the maximum
22 compensation level as provided in paragraph (18) of Section 902 of
23 this title, multiplied by the number of years of service with the
24 Department of Corrections and any years in excess of twenty (20)

1 years with the Department or years credited to the member in
2 accordance with the provisions of Section 913 of this title, shall
3 be calculated for retirement purposes at two percent (2%) of the
4 final average compensation of the member multiplied by the number of
5 years of such service. For purposes of this paragraph, "final
6 average compensation" shall be determined by computing the average
7 annual salary, in the manner prescribed by paragraph (18) of Section
8 902 of this title, for the highest three (3) years of the last ten
9 (10) years of participating service immediately preceding retirement
10 or termination of employment for all years of service performed by
11 such member with the Department. "Final average compensation" shall
12 be determined by computing the average annual salary for the highest
13 five (5) of the last ten (10) years of participating service
14 immediately preceding retirement or termination of employment, with
15 respect to members whose first participating service occurs on or
16 after July 1, 2013.

17 (8) Any person who contributed to the System as a correctional
18 officer, a probation and parole officer or a fugitive apprehension
19 agent as provided in paragraph (b) or (c) of subsection (1) of
20 Section 919.1 of this title, and who retires under normal retirement
21 or early retirement on or after January 1, 2004, under paragraph
22 (24) of Section 902 of this title, and any public safety officer
23 described by paragraph (37) of Section 902 of this title hired on or
24 after the effective date of this act by the Grand River Dam

1 Authority and who retires on or after the effective date of this
2 act, shall have retirement benefits for each year of full-time-
3 equivalent participating service as a correctional officer, a
4 probation and parole officer or a fugitive apprehension agent, or
5 Grand River Dam public safety officer computed on two and one-half
6 percent (2 1/2%) of the final average compensation based upon those
7 years as a correctional officer, a probation and parole officer, a
8 fugitive apprehension agent or a Grand River Dam public safety
9 officer. For purposes of this paragraph, "final average
10 compensation" shall be determined by computing the average annual
11 salary, in the manner prescribed by paragraph (18) of Section 902 of
12 this title, for the highest three (3) years of the last ten (10)
13 years of participating service immediately preceding retirement or
14 termination of employment for all years of service performed by such
15 member, both for years of service performed as a correctional
16 officer, probation and parole officer or fugitive apprehension
17 agent, or years of service performed as a Grand River Dam public
18 safety officer, not in excess of twenty (20) years, and for years of
19 service performed in excess of twenty (20) years, whether as a
20 correctional officer, probation and parole officer, fugitive
21 apprehension agent, Grand River Dam public safety officer, or other
22 position unless the computation of benefits would result in a lower
23 retirement benefit amount than if final average compensation were to
24 be computed as otherwise provided by this paragraph. "Final average

1 compensation" shall be determined by computing the average annual
2 salary for the highest five (5) of the last ten (10) years of
3 participating service immediately preceding retirement or
4 termination of employment, with respect to members whose first
5 participating service occurs on or after July 1, 2013, or with
6 respect to Grand River Dam public safety officers whose first
7 participating service occurs on or after the effective date of this
8 act.

9 (9) Any member who is:

- 10 a. initially on or after July 1, 2002, employed as a
11 firefighter for the Oklahoma Military Department and
12 who retires on or after the member's normal retirement
13 date shall be entitled to receive an annual retirement
14 benefit equal to two and one-half percent (2 1/2%) of
15 the final average compensation of the member
16 multiplied by the number of years of service in such
17 service,
- 18 b. (1) a firefighter who performs firefighting services
19 for the Oklahoma Military Department prior to
20 July 1, 2002, and who makes an election in
21 writing on a form prescribed for this purpose by
22 the System not later than December 31, 2002,
23 shall be entitled to receive a retirement benefit
24 based upon two and one-half percent (2 1/2%) of

1 the final average compensation of the member
2 multiplied by the number of years of service as a
3 firefighter with the Oklahoma Military Department
4 on or after July 1, 2002. The election
5 authorized by this subdivision shall be
6 irrevocable once the election is filed with the
7 System,

- 8 (2) a firefighter who performs firefighting services
9 for the Oklahoma Military Department prior to
10 July 1, 2002, and who makes the election in
11 division (1) of this subparagraph may also make
12 an election in writing on a form prescribed for
13 this purpose by the System not later than
14 December 31, 2002, to receive a retirement
15 benefit based upon two and one-half percent (2
16 1/2%) of the final average compensation of the
17 member multiplied by the number of years of
18 service as a firefighter with the Oklahoma
19 Military Department prior to July 1, 2002. The
20 election authorized by this subdivision shall be
21 irrevocable once the election is filed with the
22 System. Retirement benefits shall be calculated
23 based upon the two and one-half percent (2 1/2%)
24

multiplier upon payment being made pursuant to
Section 913.5 of this title,

c. initially on or after November 1, 2026, hired as
a CLEET-certified law enforcement agent employed
by the Oklahoma Department of Human Services
Office of Inspector General and who retires on or
after the member's normal retirement date shall
be entitled to receive an annual retirement
benefit equal to two and one-half percent (2
1/2%) of the final average compensation of the
member multiplied by the number of years of
service in such service,

d. (1) a CLEET-certified law enforcement agent employed
by the Department of Human Services Office of
Inspector General prior to November 1, 2026, and
who retires on or after the member's normal
retirement date, shall be entitled to receive a
retirement benefit based upon two and one-half
percent (2 1/2%) of the final average
compensation of the member multiplied by the
number of years of service as a CLEET-certified
law enforcement agent employed by the Department
of Human Services Office of Inspector General on
or after November 1, 2026,

(2) a CLEET-certified law enforcement agent employed by the Department of Human Services Office of Inspector General prior to November 1, 2026, and who makes an irrevocable election in writing on a form prescribed for this purpose by the System not later than June 30, 2027, shall be entitled to receive a retirement benefit based upon two and one-half percent (2 1/2%) of the final average compensation of the member multiplied by the number of years of service as a CLEET-certified law enforcement agent employed by the Department of Human Services Office of Inspector General prior to November 1, 2026. The election authorized by this subdivision shall be irrevocable once the election is filed with the System. Retirement benefits shall be calculated based upon the two and one-half percent (2 1/2%) multiplier upon payment being made pursuant to Section 913.5 of this title. The actuarial purchase of any service credit accrued prior to November 1, 2026, as an agent as set forth in this subdivision shall cancel such corresponding service and shall not be used to compute the retirement benefit under any other provision

1 except as provided in this subdivision. In no
2 event shall the service purchased under this
3 subdivision cause the member to receive a
4 retirement benefit for the same service in any
5 other plan. Any purchased service under this
6 subdivision shall comply with the applicable
7 provisions of the Internal Revenue Code and rules
8 adopted by the Board of Trustees.

9 (10) Any person who contributes to the System as a deputy
10 sheriff or county jailer as provided in paragraph (f) of subsection
11 (1) of Section 919.1 of this title, and who was:

- 12 a. employed by a participating employer in the System
13 for the first time as a deputy sheriff or jailer on
14 or after November 1, 2020, and who retires under
15 normal retirement or early retirement under division
16 (v) of subparagraph (d) of paragraph (24) of Section
17 902 of this title, shall have retirement benefits for
18 each year of full-time-equivalent participating
19 service as a deputy sheriff or county jailer computed
20 on two and one-half percent (2 1/2%) of the final
21 average compensation based upon those years as a
22 deputy sheriff or county jailer, and any years in
23 excess of twenty (20) years as a deputy sheriff or
24 county jailer, or years credited to the member in

1 accordance with the provisions of Section 913 of this
2 title, shall be calculated for retirement purposes at
3 two percent (2%) of the final average compensation of
4 the member multiplied by the number of years of such
5 service, or

6 b. (1) employed by a participating employer in the
7 System for the first time as a deputy sheriff or
8 county jailer before November 1, 2020, and who
9 retires under the normal retirement or early
10 retirement under division (vi) of subparagraph
11 (d) of paragraph (24) of Section 902 of this
12 title, shall be entitled to receive a retirement
13 benefit based on two and one-half percent (2
14 1/2%) of the final average compensation of the
15 member multiplied based on the number of years of
16 service as a deputy sheriff or county jailer with
17 any county participating in the System on or
18 after November 1, 2024,

19 (2) employed by a participating employer in the
20 System for the first time as a deputy sheriff or
21 county jailer before November 1, 2020, and who
22 retires under the normal retirement or early
23 retirement under division (vi) of subparagraph
24 (d) of paragraph (24) of Section 902 of this

1 title, and who makes an election in writing not
2 later than July 1, 2026, on a form prescribed for
3 this purpose by the System, shall be entitled to
4 a retirement benefit based upon two and one-half
5 percent (2 1/2%) of the final average
6 compensation of the member multiplied by the
7 number of years of service prior to November 1,
8 2024, as a deputy sheriff or county jailer
9 employed by any county that is a participating
10 employer in the System. The election authorized
11 by this subparagraph shall be irrevocable once
12 the election is filed with the System.
13 Retirement benefits shall be calculated based
14 upon the two and one-half percent (2 1/2%)
15 multiplier upon payment being made pursuant to
16 Section 913.5 of this title. Any person
17 otherwise qualifying under this subparagraph, but
18 who is not employed as a deputy sheriff or county
19 jailer on November 1, 2024, and who is reemployed
20 as a deputy sheriff or county jailer with a
21 county that is a participating employer in the
22 System after November 1, 2024, shall have six (6)
23 months from the initial date of reemployment to
24 make the election authorized in this

1 subparagraph. The actuarial purchase of any
2 service credit accrued prior to November 1, 2024,
3 as a deputy sheriff or county jailer employed by
4 a county that is a participating employer in the
5 System as set forth in this subparagraph shall
6 cancel such corresponding service and shall not
7 be used to compute the retirement benefit under
8 any other provision except as provided in this
9 subparagraph. In no event shall the service
10 purchased under this subparagraph cause the
11 member to receive a retirement benefit for the
12 same service in any other plan. Any purchased
13 service under this subparagraph shall comply with
14 the applicable provisions of the Internal Revenue
15 Code and rules adopted by the Board of Trustees.

- 16 c. For purposes of paragraph (10), "final average
17 compensation" shall be determined by computing the
18 average annual salary, in the manner prescribed by
19 paragraph (18) of Section 902 of this title, both for
20 years of service performed as a deputy sheriff or
21 county jailer not in excess of twenty (20) years, and
22 for years of service performed in excess of twenty
23 (20) years, whether as a deputy sheriff or county
24 jailer.

1 (11) Upon death of a retiree, there shall be paid to his or her
2 beneficiary an amount equal to the excess, if any, of his or her
3 accumulated contributions over the sum of all retirement benefit
4 payments made.

5 (12) Such annual retirement benefits shall be paid in equal
6 monthly installments, except that the Board may provide for the
7 payment of retirement benefits which total less than Two Hundred
8 Forty Dollars (\$240.00) a year on other than a monthly basis.

9 (13) Pursuant to the rules established by the Board, a retiree
10 receiving monthly benefits from the System may authorize warrant
11 deductions for any products currently offered to active state
12 employees through the Employees Benefits Council, provided that
13 product is offered to state retirees as a group and has a minimum
14 participation of five hundred state retirees. The System has no
15 responsibility for the marketing, enrolling or administration of
16 such products, but shall retain a processing fee of two percent (2%)
17 of the gross deductions for the products. Retirement benefit
18 deductions shall be made for membership dues for any statewide
19 association for which payroll deductions are authorized pursuant to
20 subsection B of Section 34.70 of Title 62 of the Oklahoma Statutes
21 for retired members of any state-supported retirement system, upon
22 proper authorization given by the member to the board from which the
23 member or beneficiary is currently receiving retirement benefits.

1 B. A member shall be considered disabled if such member
2 qualifies for the payment of Social Security disability benefits, or
3 the payment of benefits pursuant to the Railroad Retirement Act of
4 1974, Section 231 et seq. of Title 45 of the United States Code, and
5 shall be eligible for benefits hereunder upon proof of such
6 disability, provided such member is an active regularly scheduled
7 employee with a participating employer at the time of injury or
8 inception of illness or disease resulting in subsequent
9 certification of eligibility for Social Security disability benefits
10 by reason of such injury, illness or disease, providing such
11 disability is certified by the Social Security Administration within
12 one (1) year after the last date physically on the job and after
13 completion of at least eight (8) years of participating service or
14 combined prior and participating service or resulting in subsequent
15 certification of eligibility of disability by the Railroad
16 Retirement Board providing such certification is made by the
17 Railroad Retirement Board within one (1) year after the last date
18 physically on the job and after completion of at least eight (8)
19 years of participating service or combined prior and participating
20 service. The member shall submit to the Retirement System the
21 Social Security Award Notice or the Railroad Retirement Award Notice
22 certifying the date of entitlement for disability benefits, as
23 issued by the Social Security Administration, Department of Health
24 and Human Services or the Railroad Retirement Board. Disability

benefits shall become effective on the date of entitlement as established by the Social Security Administration or the Railroad Retirement Board, but not before the first day of the month following removal from the payroll, whichever is later, and final approval by the Retirement System. Benefits shall be based upon length of service and compensation as of the date of disability, without actuarial reduction because of commencement prior to the normal retirement date. The only optional form of benefit payment available for disability benefits is Option A as provided for in Section 918 of this title. Option A must be elected in accordance with the provisions of Section 918 of this title. Benefit payments shall cease upon the member's recovery from disability prior to the normal retirement date. Future benefits, if any, shall be paid based upon length of service and compensation as of the date of disability. In the event that disability ceases and the member returns to employment within the System credited service to the date of disability shall be restored, and future benefits shall be determined accordingly.

C. A member who incurred a disability pursuant to subsection B of this section on or after July 1, 1999, and who has retired from the System with an early retirement benefit pending certification from the Social Security Administration or the Railroad Retirement Board shall receive a retirement benefit not less than the disability retirement benefit provided by subsection B of this

1 section once the System receives a Social Security Award Notice or a
2 Railroad Retirement Award Notice pursuant to subsection B of this
3 section and a completed Application for Disability Benefits. In
4 addition, such member shall receive the difference, if any, between
5 the early retirement benefit and the disability benefit from the
6 date the Social Security Administration or the Railroad Retirement
7 Board establishes disability entitlement.

8 D. Any actively participating member of the System on or after
9 July 1, 1998, except for those employees provided in subparagraph
10 (e) of paragraph (14) of Section 902 of this title, whose employment
11 is less than full-time, shall have his or her final average
12 compensation calculated on an annualized basis using his or her
13 hourly wage subject to the maximum compensation limits; provided,
14 however, any such member whose first participating service occurred
15 before July 1, 2013, and who has at least three (3) years of full-
16 time employment during the last ten (10) years immediately preceding
17 termination or retirement shall not be eligible for the
18 annualization provisions contained herein; and provided further, any
19 such member whose first participating service occurred on or after
20 July 1, 2013, and who has at least five (5) years of full-time
21 employment during the last ten (10) years immediately preceding
22 termination or retirement shall not be eligible for the
23 annualization provisions contained herein. The Board of Trustees
24

1 shall promulgate such administrative rules as are necessary to
2 implement the provisions of this subsection.

3 SECTION 3. AMENDATORY 74 O.S. 2021, Section 916.3, as
4 amended by Section 3, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025,
5 Section 916.3), is amended to read as follows:

6 Section 916.3. A. Notwithstanding the provisions of Sections
7 901 through 932 of this title, a monthly pension, as provided in
8 subsection B of this section, shall be paid on behalf of any member
9 who is a:

10 1. Correctional officer or probation and parole officer of the
11 Department of Corrections and who is killed or mortally wounded on
12 or after January 1, 2000, during the performance of the member's
13 duties for the Department or any employee of the Department of
14 Corrections who is killed or mortally wounded after June 30, 2004,
15 during the performance of the member's duties for the Department;

16 2. Deputy sheriff or county jailer first hired on or after
17 November 1, 2020, by any county that is a participating member in
18 the System, and who is killed or mortally wounded during the
19 performance of the member's duties as a deputy sheriff or jailer;
20 ~~and~~

21 3. Deputy sheriff or county jailer first hired before November
22 1, 2020, by any county that is a participating employer in the
23 System, and who is killed or mortally wounded during the performance
24

1 of the member's duties for the participating county on or after
2 November 1, 2024; and

3 4. CLEET-certified law enforcement agent employed by the
4 Department of Human Services Office of Inspector General and who is
5 killed or mortally wounded during the performance of the member's
6 duties for the Department on or after November 1, 2026.

7 B. The monthly benefit shall be equal to:

8 1. Two and one-half percent (2 1/2%);

9 2. Multiplied by twenty (20) years of service, regardless of
10 the actual number of years of credited service performed by the
11 member prior to death, if the member had performed less than twenty
12 (20) years of credited service, or the actual number of years of
13 credited service of the member if greater than twenty (20) years;

14 3. Multiplied by the member's final average compensation; and

15 4. Divided by 12.

16 C. The pension provided for in subsection A of this section
17 shall be paid:

18 1. Except as provided in subsection D of this section, to the
19 surviving spouse for life; or

20 2. If there is no surviving spouse or upon the death of the
21 surviving spouse:

22 a. to the surviving child or children of said member or
23 legal guardian of such child or children for such time
24

1 as such child or children are under the age of
2 eighteen (18) years, or

3 b. to the surviving child or children between the age of
4 eighteen (18) and twenty-two (22) years if the child
5 is enrolled full time in and is regularly attending a
6 public or private school or any institution of higher
7 education.

8 D. No surviving spouse shall receive benefits from this
9 section, Section 49-113 of Title 11 of the Oklahoma Statutes,
10 Section 50-117 of Title 11 of the Oklahoma Statutes, or Section 2-
11 306 of Title 47 of the Oklahoma Statutes as the surviving spouse of
12 more than one member of the Oklahoma Firefighters Pension and
13 Retirement System, the Oklahoma Police Pension and Retirement
14 System, the Oklahoma Law Enforcement Retirement System, or the
15 Oklahoma Public Employees Retirement System. The surviving spouse
16 of more than one member shall elect which member's benefits he or
17 she will receive.

18 E. In addition to the pension above provided for, if said
19 member leaves one or more children under the age of eighteen (18)
20 years or under the age of twenty-two (22) years if the child is
21 enrolled full-time in and is regularly attending a public or private
22 school or any institution of higher education, Four Hundred Dollars
23 (\$400.00) a month shall be paid to the surviving spouse or to the
24 person having the care and custody of such children if there is no

1 surviving spouse or if the surviving spouse dies and until each
2 child reaches the age of eighteen (18) years or reaches the age of
3 twenty-two (22) years if the child is enrolled full-time in and is
4 regularly attending a public or private school or any institution of
5 higher education.

6 F. The pension benefit provided in this section shall be made
7 prospectively only from the effective date of this act. The
8 benefits shall be payable beginning the later of the first day of
9 the month following the date that such employee was killed or dies
10 from a mortal wound, as provided in this section, or the effective
11 date of this act.

12 G. The Board of the Oklahoma Public Employees Retirement System
13 shall promulgate such rules as are necessary to implement the
14 provisions of this section.

15 SECTION 4. AMENDATORY 74 O.S. 2021, Section 919.1, as
16 amended by Section 4, Chapter 280, O.S.L. 2024 (74 O.S. Supp. 2025,
17 Section 919.1), is amended to read as follows:

18 Section 919.1. (1) Employee contributions to the System shall
19 be:

- 20 (a) for employees except as otherwise provided in
21 paragraphs (b), (c), (d), (e), (f) ~~and~~, (g), and (h)
22 of this subsection: beginning July 1, 2006, and
23 thereafter, three and one-half percent (3.5%) of
24 allowable annual compensation;

- (b) for correctional officers and probation and parole officers employed by the Department of Corrections: beginning July 1, 1998, and thereafter, and for correctional officers or probation and parole officers who are in such position on June 30, 2004, or who are hired after June 30, 2004, and who receive a promotion or change in job classification after June 30, 2004, to another position in the Department of Corrections, so long as such officers have at least five (5) years of service as a correctional officer or probation and parole officer, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title;
- (c) for fugitive apprehension agents who are employed with the Department of Corrections on or after July 1, 2002, and for fugitive apprehension agents who are in such position on June 30, 2004, or who are hired after June 30, 2004, and who receive a promotion or change in job classification after June 30, 2004, to another position in the Department of Corrections, so long as such agents have at least five (5) years of service as a fugitive apprehension agent, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title;

- (d) for firefighters of the Oklahoma Military Department first employed beginning July 1, 2002, and thereafter, and such firefighters who performed service prior to July 1, 2002, for the Oklahoma Military Department and who make the election authorized by division (1) of subparagraph b of paragraph (9) of subsection A of Section 915 of this title who perform service on or after July 1, 2002, in such capacity, eight percent (8%) of allowable compensation as provided in subsection (9) of Section 902 of this title;
- (e) for all public safety officers of the Grand River Dam Authority as defined by paragraph (37) of Section 902 of this title, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title;
- (f) for deputy sheriffs and county jailers employed by any county that is a participating employer in the System for the first time as a deputy sheriff or jailer on or after November 1, 2020, or beginning November 1, 2024, those deputy sheriffs and county jailers employed by any county that is a participating employer in the System for the first time as a deputy sheriff or county jailer before November 1, 2020, eight percent

(8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title; ~~and~~

(g) for all CLEET-certified law enforcement agents employed by the Department of Human Services Office of Inspector General as defined by paragraph (38) of Section 902 of this title, eight percent (8%) of allowable compensation as provided in paragraph (9) of Section 902 of this title; and

(h) for all employees except those who make contributions pursuant to paragraphs (b), (c), (d), (e) ~~and~~, (f), and (g) of this subsection who make an irrevocable written election pursuant to paragraph (2) of subsection A of Section 915 of this title: six and forty-one one-hundredths percent (6.41%) of allowable annual compensation.

The contributions required by paragraphs (b), (c), (e), and (f) of this subsection shall be made by a member for not more than twenty (20) years and thereafter shall be as provided in paragraph (a) of this subsection.

(2) Contributions shall be deducted by each state agency by the participating employer for such benefits as the Board is authorized to administer as provided for by law. Employee and employer contributions shall be remitted monthly, or as the Board may

1 otherwise provide, to the Executive Director for deposit in the
2 Oklahoma Public Employees Retirement Fund.

3 (3) Each participating employer shall pick up under the
4 provisions of Section 414(h) (2) of the Internal Revenue Code of 1986
5 and pay the contribution which the member is required by law to make
6 to the System for all compensation earned after December 31, 1988.
7 Although the contributions so picked up are designated as member
8 contributions, such contributions shall be treated as contributions
9 being paid by the participating employer in lieu of contributions by
10 the member in determining tax treatment under the Internal Revenue
11 Code of 1986 and such picked up contributions shall not be
12 includable in the gross income of the member until such amounts are
13 distributed or made available to the member or the beneficiary of
14 the member. The member, by the terms of this System, shall not have
15 any option to choose to receive the contributions so picked up
16 directly and the picked up contributions must be paid by the
17 participating employer to the System.

18 Member contributions which are picked up shall be treated in the
19 same manner and to the same extent as member contributions made
20 prior to the date on which member contributions were picked up by
21 the participating employer. Member contributions so picked up shall
22 be included in gross salary for purposes of determining benefits and
23 contributions under the System.

1 The participating employer shall pay the member contributions
2 from the same source of funds used in paying salary to the member,
3 by effecting an equal cash reduction in gross salary of the member.

4 (4) By September 1, 1989, the System shall refund the
5 accumulated employee contributions of any member who elects to
6 retain the member's membership in the Teachers' Retirement System of
7 Oklahoma, in accordance with Section 17-104 of Title 70 of the
8 Oklahoma Statutes, to such member. Upon the refund of the
9 accumulated employee contributions referred to in this subsection,
10 all benefits and rights accrued to such member are terminated.

11 SECTION 5. AMENDATORY 74 O.S. 2021, Section 935.2, is
12 amended to read as follows:

13 Section 935.2. A. The Oklahoma Public Employees Retirement
14 System (System) shall establish a defined contribution system for
15 those persons who first become employed in a full-time equivalent
16 position or a position which is less than full-time but more than
17 half-time position and which qualifies for employee benefits,
18 including but not limited to, health insurance and leave time by any
19 participating employer of the System, as defined by paragraph (25)
20 of Section 902 of this title, on or after November 1, 2015. Any
21 person first licensed by the Department of Rehabilitation Services
22 as a vending stand operator or managing operator on or after
23 November 1, 2015, as defined by Section 929 of this title, shall be
24 eligible for participation in the defined contribution system.

1 B. The provisions of subsection A of this section and the
2 provisions of this act shall not be applicable to employees who are
3 initially employed in the positions described in division (i), (ii),
4 (iii), ~~or~~ (iv), or (vii) of subparagraph (d) of paragraph (24) of
5 Section 902 of this title, district attorneys, assistant district
6 attorneys or other employees of the district attorney's office, and
7 any employees of a county, county elected officials, county
8 hospital, city or town, conservation district, circuit engineering
9 district, and any public or private trust in which a county, city or
10 town participates and is the primary beneficiary.

11 C. An employee described by subsection A of this section shall
12 become a participant in the defined contribution system and the
13 employee shall not accrue any service credit in the Oklahoma Public
14 Employees Retirement System as established pursuant to Section 901
15 et seq. of this title.

16 D. Employees who participate in the defined contribution system
17 shall be deemed to begin service in the defined contribution system
18 on the first day of the month following employment.

19 E. An employee who begins participating in the defined benefit
20 plan on or after November 1, 2015, in one of the positions described
21 in subsection B of this section, shall continue to participate in
22 the defined benefit plan only as long as he or she continues to be
23 employed in a position described in subsection B of this section.

F. Any employee employed on or after November 1, 2015, by the Legislative Service Bureau, State Senate or House of Representatives for the full duration of a regular legislative session shall be eligible for membership only in the defined contribution system regardless of classification as a temporary employee. The temporary session employee may participate in the defined contribution system during the regular legislative session at the option of the employee. Once the temporary session employee makes a choice to participate, the choice shall be binding for all future legislative sessions during which the temporary session employee is employed. For purposes of this subparagraph, the determination of whether an employee is employed for the full duration of a regular legislative session shall be made by the employer.

SECTION 6. This act shall become effective November 1, 2026.

Passed the House of Representatives the 24th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the day of , 2026.

Presiding Officer of the Senate